Outlook

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Follow-up: APR, affordability and later outcomes

Morning,

I need help with something that sounds simple but probably is not.

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

The questions I would ask in the room are:
1. What would we expect to see if channel or product creates unexplained pricing differences?
2. What evidence would instead support that higher spreads align with higher expected risk?
3. How do we rule out that later distress is concentrated in affordability edges rather than price?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use May 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards which pricing rules need review and which differences require conduct testing. A useful output would be a one-page finding note plus the underlying CSV for our own review.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. One caution: This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Regards